Brokerages

A broker is the middleman who brings buyers and sellers of stocks and other securities together, and acts as an intermediary for trades.

How it works

A brokerage firm enables individuals or companies to buy or sell financial instruments. Traditionally, brokerages research markets, make recommendations to buy or sell securities, and facilitate those transactions for clients. A stockbroker then makes the trade in the market on behalf of the client, for a commission. Larger institutional trades are still often done in this way, with a broker being instructed to buy or sell a large amount of stock on behalf of a client.

With the advent of the internet, discount and online brokers have automated this process for the wider retail market (private investors), dispensing with the need for stockbrokers to place trades by phone or in person. Online brokers enable retail clients to trade financial securities instantly via an online trading platform, but these brokerage companies may not give advice or provide research. This allows them to offer a much cheaper execution-only service.

Brokerages may also make money by charging fees for managing clients' portfolios and executing trades for them. This is known as a discretionary service, and may involve transaction fees and a management fee taken as a percentage of the value of the client's portfolio.

WHY THE BID–OFFER SPREAD MATTERS

It is important to be aware of the bid–offer spread when trading securities or other financial products. This is the difference between the buying and selling price of a security. For example, one investor wants to buy shares and is given a price—the offer price—of $210. Another investor wants to sell and is quoted a sell, or bid price, of $208. The $2 difference is the bid–offer spread. Securities that are frequently traded, for example those listed on the S&P 500 index of leading shares, tend to have smaller spreads and are called "liquid" because it is easy to find a buyer or seller for them. Those traded less frequently—for example the shares of smaller companies—may have a bigger spread and are therefore less liquid. Liquidity is generally defined by "normal market size," which is the number of shares for which a retail investor should be able to receive an immediate quote.

1994 year the first online broker launched

The broker's role

When an investor wishes to sell some of their shares, they first contact their broker and ask them to quote a price. The broker checks the market and tells them the bid price at which the share is trading—that is, the price at which the broker is willing to buy from a client. It is generally lower than the offer price at which the broker is willing to sell to a client. The difference in price is known as the bid–offer spread, and it is how brokers make money on their deals. Prices can change within seconds on busy trading days for certain assets. The seller then specifies whether they want to go ahead at that price, wait, or sell "at best," which is whatever price the broker can secure for them in the market at the current time. The broker then proceeds to carry out the trade on the investor's behalf.